Ep. 370: Eric Beinhocker on Market Humanism, the End of Neoliberalism, and Human Flourishing

Podcast: Macro hive

AI Executive Summary

1. Core Thesis Eric Beinhocker argues that the dominant neoliberal economic paradigm—treated as an operating system for global economics since the 1980s—has collapsed because it relied on flawed mathematical assumptions that ignored human reality, leading to a "paradigm vacuum" and political populism. He proposes **Market Humanism** as a new economic framework that views markets not as abstract efficiency mechanisms but as evolutionary tools designed to create variety and innovation to solve human problems. This paradigm posits that market value is derived from ordering chaos and providing functional solutions, requiring active state regulation to ensure these markets serve human flourishing rather than creating environmental or social harm.

2. Key Arguments & Data

3. **The Collapse of Neoliberalism:** The current economic paradigm failed due to a "broken social contract" characterized by 90% of the US population's income stagnation, lower investment, and climate damage. It did not collapse incrementally but through the realization that life had become insecure, creating populist backlash.
4. **Four Revisions in Economic Paradigm:**
    1. **Homo Sapiens vs. Homo Economicus:** Humans are not hyper-rational maximizers of utility (Jeremy Bentham’s model) but social creatures capable of pro-social instincts, cooperation, and pattern recognition learning.
    2. **Markets as Evolutionary Engines:** Markets are not perfectly efficient allocators but institutions that generate diversity and drive innovation through selection processes (e.g., competition between networks like Samsung vs. Apple).
    3. **Value = Problem Solving:** Real value is generated when products/services create order in the environment to solve human problems, whereas market price acts as a coordination signal which can be inaccurate.

4. **Inequality Structure:** Outcomes are driven more by game structures (path dependence, asymmetry, compounding) than individual merit (analogous to playing Monopoly repeatedly regardless of skill).

5. **Policy & Data Findings:**
    - **Growth from the Middle Out:** Increasing economic fairness improves participation in the economy as workers/savers/innovators, whereas trickle-down wealth redistribution exacerbates inequality. IMF and OECD data contradicts the neoliberal view that fairness reduces growth.
    - **Climate Value Creation:** Clean energy transition is viewed not as a cost but as value creation because it solves the problem of climate change; fossil fuels create problems.
    - **State & Democracy:** Market Humanism requires high state capacity and functional democracy to regulate "dual-use technologies" (like child labor reform or fossil fuel phase-out) rather than relying on central planning.

6. **Macrocosm Project:** Beinhocker notes Oxford University's project uses computational modeling (rather than static equilibrium math) to simulate complex economic systems. It successfully forecasted UK housing bubbles and post-lockdown economic ripple effects outperforming traditional firms like Goldman Sachs and the Bank of England.

7. Actionable Takeaways

8. **Adopt Critical Economic Literacy:** Listen to or read about "Market Humanism" rather than standard neoclassical models; understand that market prices do not equate to value, and that efficiency is not always a net positive for society.
9. **Develop Human Skills Over AI Dependency:** Young professionals should focus on critical thinking and cooperation skills (networking, solving complex problems) before entering the job market, using AI only as a tool post-learning to avoid diminishing the struggle required for skill acquisition.

10. **Support Policy Focused on Innovation & Fairness:** For investors and policymakers, prioritize support for middle-class wages and diverse network development over strict efficiency metrics; favor industrial policy that builds dense networks of knowledge (as seen in Asian Tiger economies) rather than free-market deregulation alone.
11. **Access Research:** Download the free booklet *Markets Built for Humans* (marketsbuiltforhumans.org) to access the core policy framework and download links to related articles on Democracy.com and Atlantic.
12. **Investor Mindset:** Recognize market volatility as a result of complex emergent behavior from individual interactions, not random inefficiencies; use this knowledge to bet on innovation rather than short-term price efficiency.

Full Transcript

Welcome to the Macrohype Conversations podcast. I'm Bilal Hafiz, Head of Strategy at Macrohype. Before we dive in, a quick update. Following Macrohype's acquisition by the BGC Group, BGC has launched a new regulated business called Macrohype Markets. For the first time, onboarded clients can also access execution services via Macrohype Markets. This new workflow will allow macro institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Gail Mozibriyan

Bloomberg, or click the link in the description below for more details on McRide markets and its service offering. Now, on to this episode's guests, Eric Beinhacher. Eric is a professor at the University of Oxford's Pelavatnik School of Government and the founder and executive director of the Institute for New Economic Thinking at the Oxford Martin School. Inet Oxford, a research centre dedicated to applying innovative economics to major societal challenges. He is also chairman of the Science Board at the Santa Fe Institute. Prior to his academic career, Eric spent three decades as a tech entrepreneur, venture capitalist and consultant to Fortune 500 companies. He's the author of The Origin of Wealth, the radical remaking of economics and what it means for business and society. Now, onto our conversation. Greetings and welcome, Eric. It's fantastic to have you on the podcast show. Thanks, Galel.

Very nice to be here. Now, before we get into the meat of our conversation, I do like to ask my guests something about their origin story. So it'd be great to hear in your own words what you said at university was inevitable. You'll end up in the private sector and then also academia as well. I kind of, I'd like to say I did my career backwards. Yeah, there's many people who start off in academia and then eventually end up in investing or business. But I went the other way around. I studied economics and engineering at university, but ended up going into the tech world, had a startup software company right out of college, sold it.

went into venture capital, did that for a number of years, and then thought it would be good to learn how big companies worked. And so went to McKinsey thinking I'd just be there for a couple of years and then go back into the tech VC world, but ended up staying for 18 years and was involved in something called the Global Institute, which is kind of their macroeconomic think tank. And my work there helped me realize that actually I had a real passion for these big picture economic issues. And so after a long career there made the decision to go back into academia and started up the Institute for New Economic Thinking at Oxford, which is where I am now and also a professor at the School of Government there. Well, that's quite a varied career. And I can see why someone with your experience and skills that could set up the Institute at Oxford as well.

Well, I think it helped give me a different perspective on the economy because I'd like to say I was kind of a practicing capitalist before I then had to study it. And so hopefully that helped bring a bit more of a real world perspective into my academic work. Great, that all makes sense. And the work that you've been looking at, it really goes to the heart of all the big topics of the day. The context of this, I guess, is that we've had this environment or regime, you could say, of neoliberalism that really emerged after the breakdown of Bretton Woods in the 70s, and then really has been a dominant regime for a long time up until maybe the global financial crisis then it started to crack. And now we're in this environment of populism and question marks around inequality and so on. Many people attribute this break in the system and the rise of populism towards political factors or social factors, whether it's social media, tech companies, kind of charismatic individuals and so on. But you have a different view. So perhaps we can use that as a springboard for a larger conversation. Yes. And if we step back a little bit, one of the points my co-author Nick Hannah and I make is that economies aren't like you know, physical systems are not governed by the laws of physics. They're human creations. And so they're governed by our ideas and theories and institutions about how the economy works. And so if you believe the ideas of say Adam Smith, you know, the economy will work one way. If you believe the ideas of Karl Marx, they'll work another way. And so this set of ideas that provides a kind of governing infrastructure or you can think of it as the operating system for the economies, you know, we call that the economic paradigm.

And, you know, we've seen economic paradigms come and go in history, you know, Keynesianism, Marxism. And then, as you mentioned, the most recent one has been what a lot of people call neoliberalism, the set of kind of free market ideas that emerged with Reagan and Thatcher in the 80s, but were also adopted on the center left figures, such as Bill Clinton, Tony Blair and others. And those ideas provided the you know, dominant operating system for the world economy for about 50 years. And, you know, there were some positive things that emerged out of that, but also quite a bit of negative things hollowing out of the middle class income stagnation for in the U.S., about 90% of the population, lower social mobility, also lower investment by both the private sector and the public sector and, you know, huge climate damage and a variety of other issues.

And that paradigm essentially collapsed starting with the 2008 crisis. 2008 was kind of the proximate cause. But these other issues have been building for decades. And we think that the populist backlash that we've seen is a result of. a broken social contract to kind of build up of these issues where, you know, life for a large segment of the population has been, you know, not necessarily getting better, has been insecure in many ways and created a lot of economic anxiety which has then been expressed politically. And we like to say there's been a paradigm vacuum that when neoliberalism collapsed after 2008, there wasn't anything, you know, kind of there is an alternative to replace it, you know, an inspiring vision of the economy.

So we've seen this kind of chaos of populists on different parts of the political spectrum, often peddling kind of easy simplistic answers to our very big problems. And we've seen a lot of political chaos and a degrading of democracy. Things like social media certainly fed into that, but we see that as kind of more an accelerant fuel to the fire rather than the kind of core cause of this. So that's why we think that the work of constructing an alternative is critical work not just to the economy, but also to regain a functional democracy. And it's quite ambitious, this new work that you've been doing. But before we get into that, I mean, during this neoliberal period, where the market was dominant in individual incentives and so on, was kind of the central unit that people looked at. You still did have a left, a center left progressive, whatever you want to call it. And they were

presenting some critiques of the system in some form and policies and so on. So what was the issue with them?

I mean, what's in their framing and how would you characterize them? Our critique of the center left is they essentially accepted the same theoretical foundations as those arguing on the right. This kind of amalgam of neoclassical economics, this kind of sort of very abstract markets are always efficient except for exceptional market failures, kind of view of the world. But the left tended to see more of those market failures. and the right just ended to see less of them. And so that became the hinge of our politics, more government intervention to fix these market failures on the left, and less and more market freedom on the right. And that also centered around a core trade-off that was positive by neoliberal economics, the idea that there was a fundamental trade-off between more fairness and equity in the economy and economic growth. And that came out of some of the neoclassical economic theory where you had these proofs and theorems kind of showing this.

various academics put forward these ideas. But that became a political framing, where those on the right became the kind of party of growth, freedom, and innovation, and those on the left became the kind of party of fairness. But they were accepting the frame that there is this trade off between the two. So the battles were kind of within the neoliberal framework as opposed to something different. Now, that meant there were real differences in policy that resulted from that. But again, the kind of intellectual assumptions about cause and effect and how the economy works were essentially shared. And that, you know, that really kind of constrained the vision for actually what we could do to, you know, address the challenges we have. So again, part of our goal is to, you know, by questioning those assumptions and changing the thinking to kind of open up our perspective on what might be possible.

And then, you know, you talk about how scientific revolutions come about, you know, not incrementally, but sort of suddenly, dramatically. And you talk about your and your, you know, your co-authors new sort of framing is what you call monkey humanism. Can you talk a bit more about that? You know, how paradigm shifts, how revolution, scientific revolutions

happening and, you know, monkey humanism. Now, some of your listeners might be familiar with the figure Thomas Kuhn wrote a famous book on the structure of scientific revolutions, and he argued that in history, what he calls normal science tends to progress where you have these kind of arguments and disagreements and discoveries within a framework or set of scientific theories, but then periodically, the broader framework and worldview changes, often because the old framework Starts getting a set of contradictions and problems and things that it can't explain and those problems sort of build up to kind of a boiling point and then, you know, we've moved on to something new that sort of, you know, classic cases, you know, the shift from kind of say Newtonian mechanics to Einsteinian relativity or quantum mechanics or other scientific revolutions.

And, you know, we've seen a similar process over time in economics, although it's not always kind of purely scientifically driven, you know, politics and events come into play. But for example, you know, the Great Depression really brought into question how the then kind of laissez-faire version of capitalism that was dominant at the time worked and it clearly wasn't working. And that opened up the space for John Maynard Keynes and other thinkers who had an alternative view of the economy and how policy should work. And we like to say that these paradigms are kind of like a giant filter that all policy passes through, and it changes how you view your policies. And an example that we like to get to illustrate this actually comes not from economics, but from medicine. So, you know, back in, I think, the 17th, 18th century, the theory of disease was that it was what was called miasma, that disease was caused by, you know, bad gases and odors from rotting matter corpses and so on.

So under that theory, washing your hands made no sense. What would washing your hands do? Why would I waste my time doing that? And a doctor named Semmelweis happened to observe that doctors who wash their hands had fewer women and babies dying in the maternity ward from infection. And he couldn't explain it because he didn't have a theory to explain it, but he just saw it empirically. And his colleagues literally laughed at him, couldn't believe the data. He actually went insane, was put in an asylum, and it wasn't until Louis Pasteur then came up with the germ

theory that all of a sudden it became obvious why washing your hands was critical if you're a doctor or just a regular person.

you know, what that illustrates is washing our hands wasn't necessarily a new policy or a new idea that no one had ever thought of before, but the paradigm determined how you viewed that policy and whether you did it and the impact that it had. And that, you know, shift has probably saved hundreds of millions, maybe even billions of lives from, you know, doctors taking care and operations to clean water and other things. So we like to say that paradigms come before policy. that before you get into the policy discussions, you have to be clear on what that paradigm is. And then the paradigm, the new paradigm that underpins your work and your co-authors work is this decided of what you call market humanism. Can you high level describe what that is? And then we can kind of go into the revolutions that underpin that. Yeah. So what we've essentially done is a big synthesis. So there's been, and we'll talk about it, sort of multiple revolutions going on in social science, often kind of quietly and sort of in the pages of academic journals that haven't really kind of reached the policy or political or business worlds. And they've often been happening in separate disciplines, so not just economics, but in psychology and sociology, anthropology, political science, lots of fields. And what we think is by assembling these kind of puzzle pieces together that we can create actually a new coherent economic paradigm. And we've given it the name Market Humanism because it is a sort of core thrust of the paradigm is to get markets working for human beings, working for human flourishing. It's a very basic point that the point of the system is to help us all live better lives and to support people to live flourishing lives.

And our current system isn't necessarily doing that. And we put markets at the center of the label because we think the paradigm changes our view about what markets are and how they work and what they mean for society. And it's also to make a point, we're not advocating a non-market system. This isn't socialism or some other non-market system. But trying to understand how we harness this very powerful social technology of markets to serve people broadly. No, that's great. And OK, let's go through some of the revolutions. I mean, in your work, you highlight four key revolutions. The first one relates to how economists look at the individual, homo

economicus, I guess, or whatever the term is, and how the revolution in research shows that it's not necessarily that. So could you just go into that a bit more? Yes, sure.

you know, many people will be familiar with this idea out of economics that people are these kind of hyper individualistic, you know, rational, farsighted, and perfectly kind of selfish creatures try to maximize their what economists call, you know, utility. And those ideas actually come not from science, but from philosophy, you know, going back into the 19th and 18th century, notably a philosopher named Jeremy Bentham. And it actually turns out it's kind of pure speculation. He literally sort of sat in an armchair and said, oh, I think humans are these kind of pleasure machines that are making these calculations about pleasure and pain and trading off these things. And the reason why economists latched onto that was because in the early days of economics when it was getting mathematicized, it was easy to write equations to describe that because it's such a simple model. But there was no evidence that actually people behave this way. It was just a kind of convenience.

you know, fast forward into the 20th century and there's sort of two stages. You know, one is figures like, you know, Daniel Kahneman and Tversky and other behavioral economists first showed just in empirically and in laboratories and things that humans don't behave like this. And they kind of shot down this model of home economics. I mean, to, you know, most people taking an intro econ class, it seems pretty obvious that, you know, none of their friends behave this way or, you know, business people, you know, I haven't met. many business people behave this way either, but they showed in the data, it's not true. But then economists, but also people in lots of other fields then started to build up, okay, well, how do we actually really behave? And at the core of that revolution has been an understanding, again, it seems obvious when you think about it that we are social creatures.

You know, we rarely think alone or make decisions alone. We tend to do it in interactions with other people and in groups and in institutions. And, you know, if you asked a zoologist what makes humans special, it's our ability to cooperate at large scales. You know, the only other species that can do that are, you know, social insects. This was, you know, E.O. Wilson's kind

of famous insights. But they do it in this very mechanistic, pre-programmed way, so that's limited. But humans have this amazing ability to construct these social orders and structures and institutions from creating a hunter-gatherer band to do a better job of getting food to creating a global supply chain that can make iPhones. And at the core of that ability to cooperate are set of what scientists call pro-social instincts around kind of reciprocity, things that build trust, even generosity and altruism, because when you cooperate in a noisy environment, an uncertain environment, you occasionally have to give someone a bit of slack, or trust them, or be generous or forgiving, or all these things that are, say, our religious teachings and thousands of years of philosophy tell us are actually good, virtuous human behavior, turn out to be pretty good.

programming for how to help us cooperate and sustain cooperation on large scales even in uncertain and noisy environments. And along with that is humans aren't making these kind of hyper-rational calculations which in most real-world settings you actually just can't do. You know they're just not subject to that but rather we're very good at inference and learning and pattern recognition. You know the kinds of stuff that we've now programmed AIs to do. Suck in a lot of data, find the pattern, update your weightings and learn and adapt over time. That's a closer analogy to how real decision making happens. And so we and others are trying to reflect that instead of Homo economic is Homo sapiens view into economic theory. That's great. And that makes so much sense as you just described it, but obviously...

That's often the case with these revolutions. You know, once you describe it, then it's obvious. Yeah. And hindsight, it always looks clear. Yeah. Now, the second revolution you talk about actually probably goes to the heart of market dominance and neoliberalism, which is this idea that markets are super efficient allocators. Whereas you have a different view or the research now actually tends something else. Yes. So, you know, the first thing to say is, again, you know, markets are human constructions. They're not some kind of state of nature or natural phenomena. Some of neoliberalism sort of portrays it. If you dumped a bunch of humans on a desert island, they would come up with the New York Stock Exchange after enough time. So there are strong instincts to trade and exchange, but we see that as part of this kind of

pattern of cooperation. But creating what we actually call markets, there are institutions with structures and rules and ways of behaving, you know, those are social creations and, you know, there's a history of them kind of going back to Mesopotamia and so on. And you can design them in different ways to, you know, behave in different ways. And in fact, the market structures that are often studied in economic theory are actually these quite sort of bizarre structures that don't really exist in the real world. You know, there's this famous thing called the Walrasian auction, you know, which is often a common kind of model that was historically used in economics.

And that's where a lot of the proofs were about market efficiency. We're done on this kind of form of a market. But again, I think someone told me that even the last one of these kinds of auctions, which I think was part of the London gold market or something like that, I can't remember exactly, but it was actually shut down and there's none left in the world anymore. But real world markets have all kinds of different forms and designs to them. And what our work and others shows is that they're not So their great genius isn't their efficiency. And as you and your listeners who participate in financial markets would know, financial markets are the most efficient markets arguably in the world. Yet there's a whole lot of folks that you're involved with who are making their money because it's not perfectly efficient. But the real genius of markets is their ability to drive innovation. And we look at markets as an institutional device for evolution in the economy. What markets are great at is creating a variety of experiments. My hobby is cycling and I can go out and look at all kinds of different fancy bikes to buy with this and that, this variety creation. And then there's a selection process. I choose yet another bike that I probably don't need. And there's an amplification process. The company that's making the best selling bikes gets more money, more capital, or talented employees and so on to be able to scale and the less successful ones may trick down or they have to adapt and change. And this process drives innovation in the economy and creates what we like to call a competition to cooperate. So again, you think of successful firms or successful organizations of cooperation and it may not just be the firm itself but also its suppliers and networks and distributors and what have you. And so you have say you know the Samsung you know network competing against the apple network you know fiercely to be the

best cooperators to provide you you know a great gadget to put in your put in your pocket. And.

So what we want markets to do is harness this ability to deliver better products and services, what we call solving our problems, delivering things that improve the quality of our life. And like all evolutionary systems, they're not perfectly efficient. There's lots of waste in this process, but there has to be to do the experimentation that's necessary. And the reason why we have to have this evolutionary experiment is You can't predict what's going to be the best bicycle or the best smartphone or the AI product that's going to really work in the future. These are just too hard problems to predict. All you can do is experiment your way to the future. OK, that will make sense. Then the third revolution relates to a theory of value, I guess. So in our current paradigm, market price is everything. That tells you the value of everything. What's the alternative theory here? Yeah, so it ties in with the other two revolutions. So why do we cooperate and why do we do this experimenting in markets and in firms? Well, we're trying to create order in our environment that solves problems.

So this chair I'm sitting in is an ordered object. If we found it on Mars, we'd be slightly surprised because it was clearly designed or created for a function to give me a comfortable place to sit. And so it's solving my problem of needing a place to sit down. And so we can think of products and services and the economy as what we call solutions to human problems. And we argue that real value comes when we create order in our environment would be a physical product or also organizing people into a service to deliver a function or solve some problem for people, that that's the kind of fundamental source of value. So giving you better, more nutritious, tastier food, better quality housing, better transport information, entertainment, healthcare, security, all the needs that human beings have in their life.

Market prices are and here we agree with Terry put forward by Hayek actually a long time ago Is there primarily a coordinating mechanism? You know that helps us kind of send signals like a nervous system through the economy But they're not always accurate measures of this kind of more fundamental notion of value and so you know in a market economy You can

have a product that cures cancer, you know having a market price and a product that causes cancer having a market price. One is solving a human problem, the other is creating problems, although maybe it's a chemical that solves some other problems, but it has this effect of creating problems. Yet, they're both seen as a positive in the economy. And when you put them in the GDP accounts, they're additive to GDP. Or likewise, when a hurricane damages a city, building that back will add to GDP because there's prices on all those goods and services.

some things. So we need to actually separate out our notions of what has kind of true value for market price. And again, we still need market prices as this coordinating mechanism. By the way, this is not a new idea. Actually, Adam Smith saw price and values to two different concepts way back when. But again, when economics got turned into mathematics, it was much more convenient to kind of collapse these concepts and just say price and value are the same thing. And then the final revolution you talk about relates to inequality. Can you talk more on that? Yeah, so there's sort of two fundamental points, you know, out of the neoliberal paradigm around inequality. One is that whatever distribution the market produces is efficient, you know, that it's kind of perfectly reflecting skills, capabilities of people, their contributions to the economy, you know, all those factors are kind of getting calculated in and it kind of it is what it is.

And second is, again, this big trade-off that anything that interferes with that distribution or changes it is going to have a negative effect, a cost somewhere in the economy is going to reduce market efficiency. Now, neoliberal economists admit you still may want to do some redistribution and there are things that affect the distribution for social reasons, for fairness, social cohesion. But there's inevitable costs. It's bad for the economy, even though it might be good for other reasons. That's been kind of the core framework. And so answers to inequality are things like, well, more education improves skills and so on, or equality of opportunity to enable more people to achieve this efficient market outcome. But what we actually see in the evidence and data is something different.

First of all, a lot of inequality has actually nothing to do with merit. And we use this analogy of the game of monopoly, which most people will be

familiar with. Every time you play the game of monopoly to the bitter end, it gets the same outcome. One person is the plutocrat, everyone else is kind of broke or poor. And it doesn't matter who's playing or how many times you play, it always ends up that way. And that's because of the mathematical structure of the game. you have three effects. One is asymmetry. The rolls of the dice send people down different paths. And you have path dependence. The property land on depends on where you were before. So you could be on a good path or a bad path through the game. And there's compounding effects. If you get a good property, you get more rent and houses and still more rent and so on. And so these three properties cause the paths of people playing the game to diverge.

Again, even though it may have little to do with their skill or merit. I mean, there's still some skill in the game. My youngest daughter usually wins. But the key point is the structure of the game is what's driving the unequal outcomes. And it doesn't matter if you sent everyone to Monopoly School, wouldn't change the outcome of the game. And also, it has perfect equality of opportunity, yet you still get this kind of outcome. So, we need to actually think of the structure of the economic game and how that's delivering outcomes and whether those outcomes are perceived by people to be fair or not. And again, coming back to the earlier points about politics, there's loads and loads of polling data showing a lot of people don't think the economy is very fair and think it's actually kind of a rigged game and that the rules are set against them succeeding, which has led to a lot of the populist anger.

Okay, and so given all of these things, I mean, just to kind of reiterate them. So what one is that, you know, humans are more cooperative than selfish and other is that the markets are less an efficiency engine and more a picker of innovators. And then the third is around price doesn't necessarily measure value. Instead, that should be solutions to human problems. And then finally, this idea of power and structure to terms inequality rather than being a meritocracy. So what's the consequence of this? So if you're a policymaker, or if you had, you know, A lot of power. I mean, what the goals of this be? What's the end result of this? First of all, opens up the thinking to look at policy from different perspectives. So for example, again, we had this big trade-off between economic fairness and growth. And

the empirical evidence says that we don't see that in the data. The IMF and OECD actually did some big studies kind of testing that.

But instead, actually, we see that things that increase economic fairness can have very positive economic effects. That, you know, they bring more people into the economy to participate as workers, consumers, savers, innovators, and so on. So, you know, things that support wage growth, like, you know, a good minimum wage, or in the US case, you know, what's called the overtime threshold, you know, things that kind of working families depend on. can help the economy do what we call grow from the middle out. That healthy, prosperous middle of the distribution of middle classes had historically been big engines of economic growth. And this is in contrast to the more trickle-down view that came out of neoliberalism where the secret to growth was to give tax cuts for very wealthy so-called job creators that would, in theory, drive investment in economic growth.

But again, the empirical evidence shows it has not been effective. In fact, what it's mainly done is exacerbate economic inequality. The policies that actually support working families tend to have more beneficial impacts. Likewise, it changes things like our views on climate change. For example, in the clean energy transition that that is instead of if real economic value comes from solving problems rather than creating them, that we've been creating a whole lot of problems with the way we've used fossil fuels, and that solving that problem through clean energy technologies is a huge value creation opportunity in kind of fundamental terms. So it reframes our thinking on a whole host of issues. Paris and I suppose is I mean before neoliberalism after the war after the Second World War we had this side of sort of Keynesianism or social democracy kind of summer version of that which was much more sort of state-led it was also focused on the middle class I suppose in some ways I mean so how would market humanism differ from kind of that that model of Keynesian social democracy?

Yeah. So there are some similarities and overlaps. So Cain's observation that consumer demand plays a pretty important role in the macro economy still stands. And many of the policies we talk about as middle out help support that. And there's evidence that the hollowing out of the middle class and increasing economic inequality has played a role in the secular

stagnation that many Western economies have faced. the sole cause, but certainly a contributing factor. But Keynes and the paradigm that came from his ideas was a bit more focused on redistribution and creating a social safety net, which may be necessary things, but didn't really have a theory of economic growth and value at its core. And actually, he was still using the static equilibrium-based ideas of his time.

So for example, in market humanism, this idea of cooperation and creating dense and diverse networks of knowledge are at the core of innovation and long-term value creation. We started thinking of what are the policies that support that? And so that gives a different reflection on why industrial policy has actually worked quite well for, say, the Asian tiger economies. That's an example of what I like to call a bumblebee. in the standard econ textbooks taught in the West, that stuff shouldn't work. But we have lots of evidence that it has and worked quite effectively for certain economies. Now, none of these things are perfect. We could point to all kinds of flaws and side effects with those ideas. But supporting the development of clusters of capabilities and technologies is a key part in building growth and national competitiveness. And likewise, The US and UK and other Western countries that went through rapid deindustrialization, you know again because of neoliberal policies that allowed that to happen and Didn't treat trade in the right way, you know We saw the reverse effect of that where you know You pull out a few kind of keystone industries and capabilities and the whole network kind of collapses and then becomes very hard to rebuild again So, you know, we have to be looking both at increasing economic fairness and inclusion as a driver of growth, but also supporting the development of these dense and diverse networks of knowledge and capability in the economy. That is going to just say, I mean, one of the most powerful things I found from your work really is this idea of rethinking the power of markets in particular. So often what happens, there's a left or far left to critique of neoliberalism is ditch markets and have something else, some kind of centralized planning or bureaucracy or something like that. But instead, what you do, you reframe where the true value of markets lie and this cooperative element to it. So then in some ways, you don't throw the baby out with bathwater. And so you kind of capture really what is really going on and focusing on that, as you say, network, information networks, coordination.

And then that then would inform policy much more effectively than kind of thinking about controlling markets or like anti-markets kind of on that paradigm of you either have a market or you have central planning or something like that. Yeah. And this changes our view on the role of the state. So the state should not be a substitute for markets. So we have lots of evidence central planning hasn't worked out so well. And actually Hayek's critique of it I think was pretty spot on. But at the same time, we've seen a history of economic progress has been states acting to shape markets to both point them more at solving human problems and constrain them from creating problems. And again, when you admit that markets aren't these perfect idealized things, I like to call them dual-use technologies. They can do a huge amount of good, but they can also do a lot of damage. And you need the state to be able to play a role in helping.

promote the good and limiting the damage, and holding markets to higher standards over time. And that's part of what we think of as progress. An example we give is child labor. back in the 1800s and before child labor was very common in the economy. And when reformers began to talk about we should ban it, the business community at the time predicted that this would be the end of the economy. If we can't have children working in the mines and the steel mills, how are we going to make this stuff? And things will be more expensive for consumers and the economy will be terrible. And of course, when they banned it, that was actually creating real value, better lives for children and their families.

Markets did what they do. They adapted. You know, they figured out you can mine coal without children digging it up. You know, you can make things in the factories. And so, you know, when the state is acting to help, you know, promote problem solving and constraining problem creating and markets are free to adapt and, you know, to those changes, we get progress. You know, the economy actually got better. children got more education, became more productive citizens, lots of good things happen as a result of that. And I see the same thing around, say, the climate debate. Again, if we have, say, a phase out of fossil fuel automobiles over time, that's going to be awful and collapse the economy. Whereas, I think the evidence that we insed see is that drives innovation. How can we really scale up EVs, make them cheaper, better?

you know, and that's happening. So again, you know, we have to harness this incredible adaptive power of markets to again, make lives better and solve our problems. And, you know, the state plays an important role in that. Now there's a big assumption there. And if you ask me what's kind of the big weakness of our theory is that this does depend on a high functioning state. You know, we have to have governments that are actually competent. to do this stuff, have the skills, have the right incentives, aren't captured by vested interests and politics and things like that. So these ideas put a big demand on democracy and state capability. And also, democratic processes to ensure that what we call problem solving is actually what people think is the problems they want to solve. So there is a need for more state capacity and better democracy to be able to make this work. But we also think that an economy run in this way will also create more support among the citizens for democracy and a functional government. That all makes sense. Now, earlier we talked about how the maths of neoclassical economics or neoliberal economics is much easier. You just have a maths optimization problem. It's a bit complicated, but you can just solve it.

all of this kind of evolutionary stuff competing networks, that's much harder to model. Now, I understand that you are involved in an Oxford project called macrocosm, which kind of uses a different approach to potentially reflect this kind of dynamic evolutionary type approach to modeling the economy. Perhaps you could elaborate about what that project is doing and how it's performing. You know, my friend, the economist, Brian Arthur, liked to say of neoclassical economics that it was done with quill pen and parchment technology, that all the models, you know, you could write them down with a quill pen and parchment. The kind of models that we use to, you know, rigorously analyze this type of economics uses computers and data, you know, and lots of data. And, you know, just as in so many other areas, the scaling laws that have driven progress and all that have been affecting our capabilities in this too. So we're now able to build quite rigorous models of the economy from the bottom up, where we're modeling individual agents, so people. And we can model them more realistically as Homo sapiens, not super simplified Homo economicists. We can model their interactions and networks, whether that's in firms or supply chains or market transactions. And then we can see the emergent behavior that comes out of those micro and meso level interactions. So emergent behaviors like

financial booms and busts, business cycles, inflation, economic growth, carbon emissions, a whole set of phenomena that emerge out of those bottom up interactions.

And even just 10 or 15 years ago, those models were pretty crude and they were stylized and interesting, but it was very hard to actually get realistic, validated behavior on time series and things like that. But just as with the explosion in compute and data and now AI that's been affecting so many other areas, we're able to build very granular, validated models using these techniques. And we've applied them in public policy cases. So just one example, we did a project with the Bank of England to do a very detailed model of the UK housing market to help them develop policies to prevent housing bubbles from developing. And how could they make policy interventions that weren't just whacking the economy with the interest rate sledgehammer, but more targeted policies that could take the gas out of bubbles before they emerge? And that was, I think, a pretty successful project.

We did some modeling of the covid pandemic looking at the impact on supply chains in the U.K. and U.S. and how the U.K. exiting from lockdown would kind of ripple through those and affect the macro economy. We made a set of real time forecast from that that we went then went back. a couple years later to look at how did we do, and I'm happy to say we beat the Bank of England Goldman Sachs, every other kind of forecaster out there, and that sort of gave us some confidence that these methods can work. And we're now, again, with a huge progress, even just over the last 12 months, scaled up our ambitions to build a much broader kind of world model of the economy.

They could be used in public policy settings, academic research settings, but also in commercial and investing settings. And for that side, through Oxford University, we've actually created this spin-out company that you mentioned called Macrocosm. But we think economic paradigm or scientific paradigm shifts are often triggered by new scientific instruments. So the invention of the microscope enabled Pasteur to come up with a term theory. AI and the compute revolution is a new scientific instrument for economics. That sounds fantastic and look forward to progress on that line

of research. Now I did want to round off with a few more kind of down-to-earth questions. One is there's a lot of unease amongst youngsters these days. Many are graduating quite soon. They'll enter the job market after the summer. What's your advice to those young people?

It's a very current question. I have two daughters at university, so they're looking ahead to this world that they're coming into. I think they would tell you, I don't have any genius insights into this. But I think that the main thing, and I'm seeing this with my own students as well, is again, learning how to think and to be a critical thinker, a creative thinker. And learning those human skills of cooperation that we talked about earlier to be able to bring people together, networks to solve complex problems together. And if you can both have the thinking skills and those social and cooperation skills, then things like AI can become more of a tool that can employ it in that setting rather than a replacement for you. And that also I think has an impact on how we're using AI and educational settings. This is something we're wrestling with at Oxford and I think every place else is. Because to develop those thinking skills, you have to do the struggle of actually writing things yourself and solving the math problems yourself and writing the lines of computer code yourself and whatever it is because the struggle is the learning. If you take away that struggle or give it to a bot, you don't do the learning.

So I almost wish we had a magical switch where we could isolate students from these technologies for a period while they develop these skills and then hand them these amazing tools, which then they can employ in their working lives. So I'm telling my daughters, when you're doing your lessons, don't touch the AI. And then as soon as you put the lesson away, go get on to Cloud Code and really learn how to use that stuff. No, that's great advice there. Now I see you have lots of books behind you, so I have to ask this question. What are some of the books that have influenced you or perhaps recent books that you'd recommend to our audience? Yeah, I'd say one book which was hugely influential on me was by the philosopher Daniel Dennett, a book called Darwin's Dangerous Idea. And it's one of the best books about evolutionary theory, not just in the context of biology.

But thinking of evolution as this universal algorithm, this incredible method for experimentation and innovation. And that book was hugely influential in how I think about the economy. And that actually played a big role in the first book that I wrote called The Origin of Wealth, which presented this kind of evolutionary idea of how the economy works. been very influenced by another philosopher, Carl Popper, and his ideas on science and knowledge discovery, but also his ideas on what makes for healthy democracies or what he called open societies and how to protect both individual freedom but within a healthy and functional society. So those would be Yeah, there's a great great recommendations that kind of classic recommendations that I think everyone should read those books. Now finally, what where can people find this work on market humanism and also just your work more generally? So we've written a booklet for policymakers called markets built for humans. And if people just go for markets built for humans.org.

It's all one word. They can download a free copy. And there's also links in there to articles we've written in the Atlantic, democracy, other places. And then for more work on the academic research behind this, my institute's website, inet.ox.ac.uk, or if you just Google Inet Oxford, I-N-E-T Oxford. We'll include links in the show notes as well. Yeah. Thank you. And then also we'll include a link also to macrocosm as well. Yes, that would be great. Thank you. Okay. With that, Eric, that was fantastic speaking to you. Very innovative stuff, and good luck with all of this work, and hopefully we can have you back on soon to see how it's all progressed as well. Thanks so much, Bilal, and I very much enjoy the podcast series and look forward to staying in touch. Great. Thank you.

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